What is Entrepreneur and Entrepreneurship

An **entrepreneur** is someone who locates the need of society and tries to meet the same, with his/her innovative idea. On the other hand, '**entrepreneurship'** which refers to the process of establishing a business entity, intending to get profit, as a return in the future.

You might have heard the names like Bill Gates, Jeff Bezos, Steve Jobs, Dangote, Mike Adenuga, Tonny Eleme lu, Mark Zuckerberg, Larry Page, Jack Ma and many more, for their innovative and unique products given by them to the society. They are not businessmen, rather they are entrepreneurs as they have established a business, to offer an innovative product and took the risk in the hope of getting profit, as a return in future.

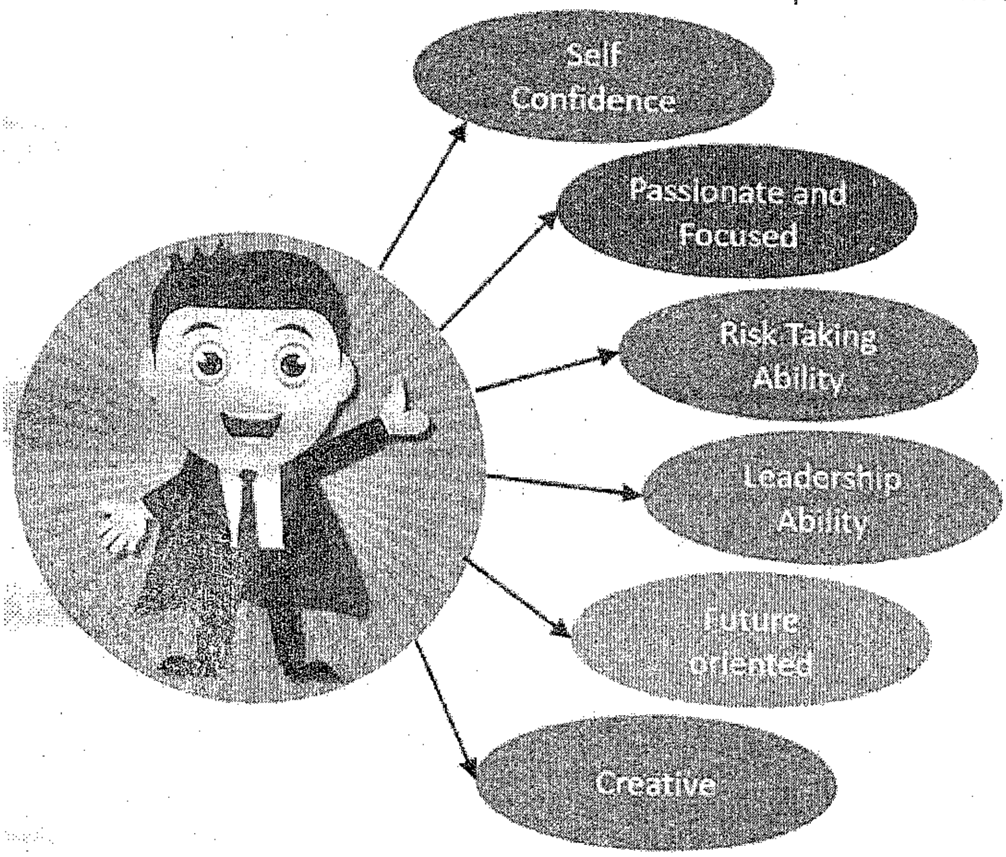
Entrepreneur Vs Entrepreneurship

Comparison Chart

BASIS FOR COMPARISON	ENTREPRENEUR	ENTREPRENEURSHIP
Meaning	An entrepreneur is an individual or a team thereof, having an innovative idea, and takes every step to turn the idea into reality, while bearing the risks.	Entrepreneurship is a risky activity of con business usually a start up company, offer products and services to the target custom may or may not get success.
What is it?	Person who has an idea and gives shape to it.	Process which gives shape to the idea.
Represents	An innovator, who chased the dream, till it becomes true.	A procedure through which an innovation
Business Venture	He/She is the one who sets up the business venture. to turn a concept into reality.	It is the activity, which an entrepreneur ur set up the business venture.

Definition of Entrepreneur

Entrepreneur refers to a person who conceives a creative idea and takes all the necessary steps required to convert the idea into reality, such as taking initiative to sets up a new business enterprise by supplying sufficient capital, land, labour and all the essential resources to produce the product, he/she has in his/her mind and bearing all risks so as to gain profits in future. The qualities of an entrepreneur are:



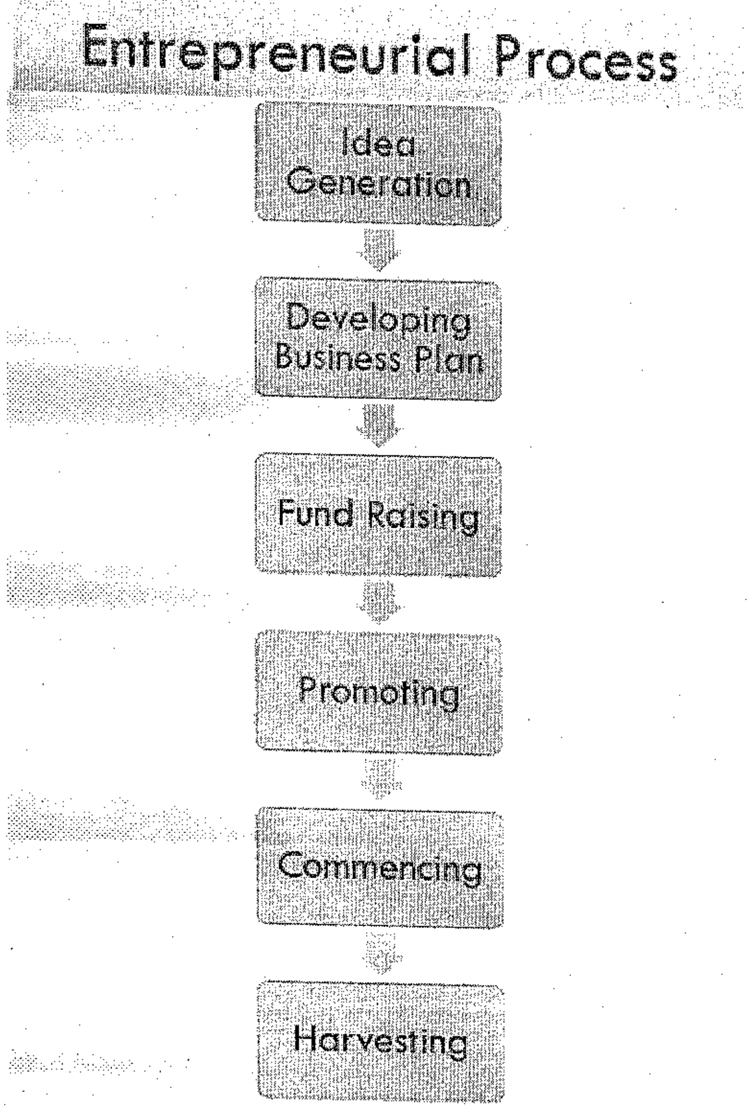
The company formed by an entrepreneur is usually a startup enterprise, which can be understood as the live manifestation of his/her idea. So, an entrepreneur is:

- A **beginner** in the market, who has something new to offer to society and starts right from scratch to establish and run the enterprise.
- An **innovator**, who has a thought-provoking idea or concept in his/her mind, that has the capability to lead the marketplace.

- A **developer**, who develops a business model, to give shape to the idea.
- A **leader**, who provides guidance and support to his/her men, to work in a specific direction or change the same (if required) so as to achieve the target.
- An **incharge** who is accountable and responsible for the success or failure of the venture, for the decisions made by him/her.
- A **promoter**, who takes all the relevant steps to turn the dream into reality.
- A **forecaster**, who foresees, future opportunities and threats which can affect the venture, positively or negatively.
- A **risk-taker**, who has the ability to anticipate the risk in the future moves, and take the risk, if they are beneficial to the enterprise.

Definition of Entrepreneurship

Entrepreneurship is the process or activity, of initiating, developing, managing and operating a startup company, while taking all the risks involved, so as to make profits. It is one of the four factors of production, the other being land,labour, capital. Now, we have discussed the entrepreneurial process as under:



Characteristics of Entrepreneurship

- **Process**: Entrepreneurship is a systematic, purposeful, creative and continuous process, which an entrepreneur undertakes to run the business smoothly.
- **Innovation**: Innovation is the key feature of the entrepreneurship, which creates a difference in the market place. Indeed, it helps the enterprise to introduce the product quickly, as there is hardly any company which is selling the product in the market.
- **Development of network**: Developing strong connections with the parties such as suppliers, distributors, banks, debtors, creditors and many more,

which are directly or indirectly related with the business process, to have a good worth, in the market.

- **Profit potential**: Profit is something, that keeps the organization going, in fact, it acts as a motivation for the entrepreneur, to do better than before. So, before taking any decision regarding the enterprise, priority is given to the profit potential, i.e. while taking any step further, the entrepreneur identifies whether it is profitable or not.
- **Forecasting of Market Trends and future possibilities**: The entrepreneur has to keep a close watch on the market trends and future demands so that the enterprise could continuously work to improve the products or services offered, and grow further.
- **Risk Assumption**: You might have heard the famous saying "no risk, no gain", which means that the profit of business depends on the risk factor. So, risks and rewards are inherent to the enterprise; in fact, there is hardly any business which survives without taking any risks.

Key Differences Between Entrepreneur and Entrepreneurship

The difference between entrepreneur and entrepreneurship are discussed in the points given below:

1. An entrepreneur is a person, or a team of individuals, having a vision, which not just generates money, but can also ease the way in which things are done, by providing such products and services that has value to the customer, while taking all the risks, which comes in the way. Conversely, entrepreneurship is an art of turning an idea into reality, which is not only about arranging the resources to give shape to the idea but constantly making efforts in that direction, to earn profit in future and bearing all the risks or rewards.

2. An entrepreneur is just a person having a unique and practical idea in his/her mind. As against, entrepreneurship is the process of starting and running a business of providing creative products and services.
3. An entrepreneur is an innovator, as he/she conceives an innovative idea, which is not yet introduced by anyone else in the market. On the contrary, entrepreneurship is the way through which one can make innovations.
4. An entrepreneur establishes the business venture, in order to convert the idea, into a product or service, which can help many by easing the way work is performed previously. In contrast, entrepreneurship is all about undertaking the business and bearing all the risks that come in the way, to give a proper shape to the entrepreneur's vision.

A **small business**, is a business that is privately owned and operated. They have a small number of employees and do not sell many things. Whether or not the law says that a business is "small" is different in different countries and industries.

Common types of small businesses

Certain industries have few infrastructure or resource requirements to start and, as such, have a relatively large number of small businesses. Many small-scale contractors or organizations may start a small business with few to no employees, basic supplies and low-cost advertising to generate revenue. Some fields that have a large number of small businesses include:

- Food service
- Retail
- Fitness
- Plumbing, electric and other trades
- Beauty

- Web design
- Childcare
- Health care
- Law
- A self-employed person refers to any person who earns their living from any independent pursuit of economic activity, as opposed to earning a living working for a company or another individual (an employer). A freelancer or an independent contractor who performs all of their work for a single client may still be a self-employed person.1
- A self-employed person is not often the same thing as being a business owner. The owner of a business, for instance, may hire employees and essentially become the boss—an employee-owner who operates and manages the business.
- Alternatively, a business owner has an ownership stake but may not be involved in the day-to-day operations of the company. In contrast, a person who is self-employed both owns the business and is also the primary or sole operator. The taxation rules that apply to those who are self-employed differ from the employee or a business owner.2
- **Types of Self-Employment**
- Independent contractors are businesses or individuals hired to do specific jobs. They receive payment only for the jobs that they do. Because they are not considered employees, they do not receive benefits or workers' compensation, their clients do not withhold taxes from their payments for work performed, and equal opportunity laws do not apply to them.3
- Examples of independent contractors include doctors, journalists, freelance workers, lawyers, actors, and accountants who are in business for themselves. It is worth noting that independent contractors are not just

limited to specialized fields and can include a wide variety of jobs.

- Sole proprietors are the only owners of unincorporated businesses, while partnerships involve two or more self-employed people who form a business together. Independent contractors, sole proprietors, and partnerships often hire a small number of employees to help them with their work.

- What is an enterprise development?
- Enterprise development, or ED, is the act of investing time and **capital** to help people establish, expand or improve business. Enterprise development helps people earn a living or find a way out of poverty, and leads to long-term economic growth for themselves, their families and their communities. 8 Oct 2019